

CEO Decision Report

COMPANY ALPHA

Construction · SRL · Antwerp, Belgium · FY2023 – FY2024 – FY2025

May 2026 · Prepared by GPS Fin Consulting

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COMPANY ALPHA — FINANCIAL DIAGNOSTIC | CEO DECISION REPORT

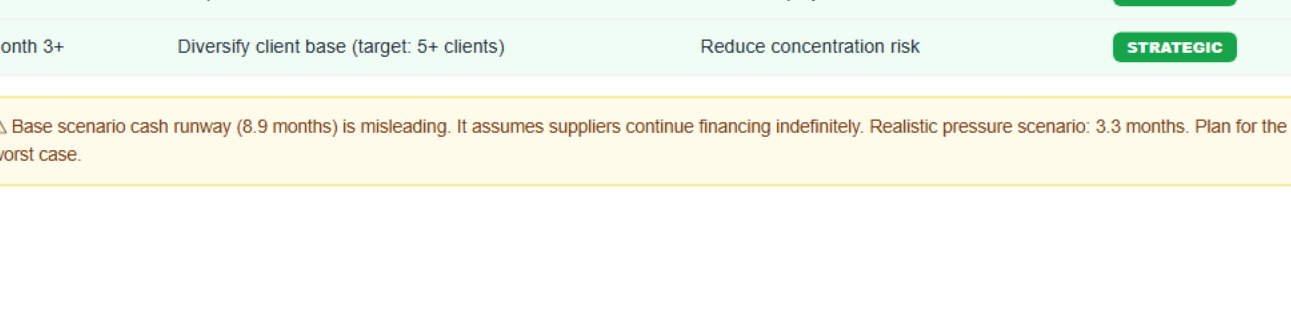
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01. EXECUTIVE SUMMARY

COMPANY ALPHA · FY2025 · FISCAL YEAR FY2023–FY2025

The business has moved from a modest profit of 3,503.50 EUR to a net loss of 6,575 EUR in the current fiscal year, signaling a sharp and concerning reversal in performance. Gross margin has collapsed from 14,628.71 EUR to just 32.36 EUR, indicating that revenue is barely covering direct costs. With only 4,871.75 EUR in cash and a survival horizon of 3.3 months under worst-case conditions, the company faces an immediate liquidity threat. Decisive management action is required now, not next quarter.

GPS SCORE™ — GLOBAL DIAGNOSIS



CRITICAL ISSUE 1

Profitability

The collapse of gross margin from 14,628.71 EUR to 32.36 EUR is the most alarming signal in this report, indicating that project costs, subcontractor fees, or material expenses have consumed virtually all revenue. Without restoring gross margin to a viable level, no amount of cost-cutting at the overhead level will return the business to profitability.

CRITICAL ISSUE 2

Cash & Safety Net

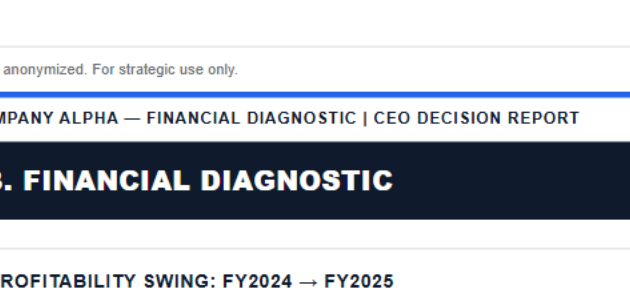
The company holds only 4,871.75 EUR in cash, which is critically insufficient for a construction business that typically carries significant payment timing gaps between project milestones and supplier obligations. A worst-case survival estimate of 3.3 months leaves almost no buffer for a delayed client payment, a contract dispute, or an unexpected cost overrun.

CRITICAL ISSUE 3

Capital Structure

The equity ratio has increased from 72.4% to 81.5%, which at first glance appears positive, but in the context of a net loss and near-zero gross margin, this likely reflects a reduction in total liabilities rather than growth in retained earnings or capital injection. A high equity ratio provides structural resilience on paper, but it does not generate the liquidity needed to fund day-to-day operations.

RISK & KEY METRICS



TOP 3 ACTIONS — START THIS WEEK

1. Conduct an immediate line-by-line review of all active contracts to identify the source of the gross margin collapse and halt or renegotiate any project operating below a minimum acceptable margin threshold. 2. Implement a strict cash preservation protocol this week: freeze all discretionary spending, prioritize receivables collection, and negotiate extended payment terms with key suppliers to extend the current 3.3-month survival window. 3. Prepare a 13-week rolling cash flow forecast immediately so that management has full visibility into when the next critical cash shortfall will occur and can act before it becomes a crisis.

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02. 30-DAY ACTION PLAN

OPERATIONAL EXECUTION ROADMAP — PRIORITIZED BY URGENCY AND FINANCIAL IMPACT

TIMELINE	ACTION	FINANCIAL IMPACT	PRIORITY
Week 1–2	Raise prices +20% on all new contracts	Restore GM: negative → positive margin	URGENT
Week 1–2	Send overdue collection notices	Free up to EUR 4,600 cash	URGENT
Week 1–2	Apply for revolving bank credit line	Extend runway beyond 3.3 months	URGENT
Week 3–4	Require 30–50% advance on every new contract	Reduce WC need immediately	URGENT
Month 1–2	Formalize 60–90d AP terms with suppliers	Reduce payment pressure	HIGH
Month 1–2	Build 13-week rolling cash forecast	Early warning system	HIGH
Month 1–2	Factor receivables > €5,000 (cost: 2–3%)	Immediate cash conversion	HIGH
Month 3+	Per-project profitability tracking	Eliminate hidden losses	STRATEGIC
Month 3+	Stop all dividend distributions	Rebuild equity above 90%	STRATEGIC
Month 3+	Diversify client base (target: 5+ clients)	Reduce concentration risk	STRATEGIC

⚠ Base scenario cash runway (8.9 months) is misleading. It assumes suppliers continue financing indefinitely. Realistic pressure scenario: 3.3 months. Plan for the worst case.

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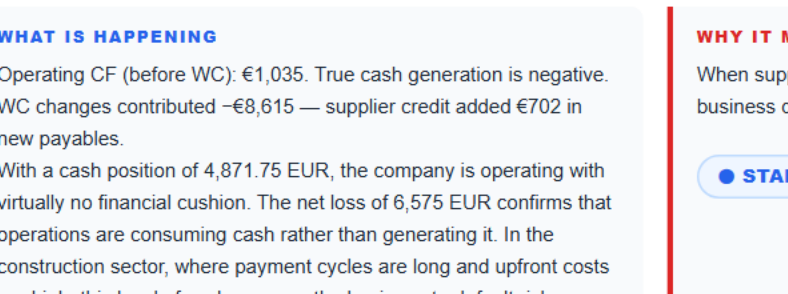
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03. FINANCIAL DIAGNOSTIC

Revenue & Profitability · Section 1/4

PROFITABILITY SWING: FY2024 – FY2025

Gross margin, Net result, ROE, ROA — full reversal in one year



WHAT IS HAPPENING

Gross margin: €14,629 (FY2024) → €32 (FY2025). Net result: €3,504 → -€6,575. ROE: +5.2% → -10.9%. ROA: +3.8% → -10.1%.

WHY IT MATTERS

Every project you accept deepens losses. Revenue growth = accelerated cash destruction.

CRITICAL

P&L COMPARISON FY2025 VS FY2024

Revenue grew — but costs grew faster



WHAT IS HAPPENING

Revenue grew but costs grew faster. Gross margin from +8.3% to -1.0%. Operating charges (personnel, subcontractors) represent ~101% of revenue.

WHY IT MATTERS

The pricing model is fundamentally broken. Fix pricing before taking any new work.

CRITICAL

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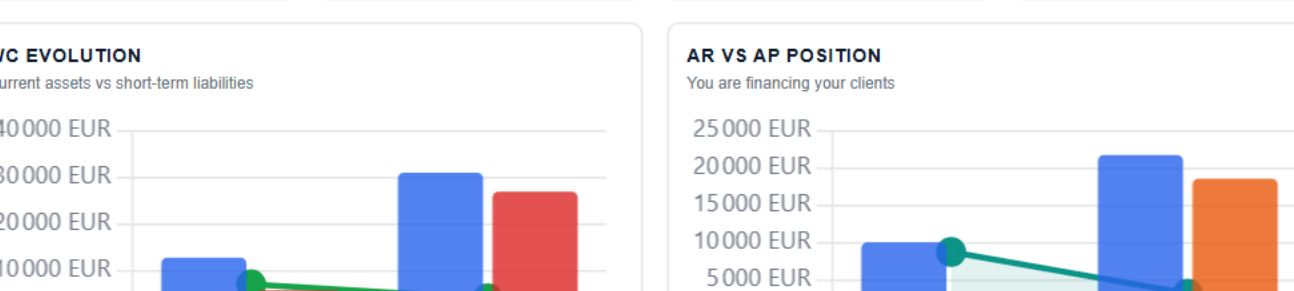
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03. FINANCIAL DIAGNOSTIC

Cash Flow · Section 2/4

CASH FLOW WATERFALL — FY2025

Revenue grew — but costs grew faster



WHAT IS HAPPENING

Operating CF (before WC): €1,035. True cash generation is negative. WC changes contributed -€8,615 — supplier credit added €702 in new payables. With a cash position of 4,871.75 EUR, the company is operating with virtually no financial cushion. The net loss of 6,575 EUR confirms that operations are consuming cash rather than generating it. In the construction sector, where payment cycles are long and upfront costs are high, this level of cash exposes the business to default risk on even routine obligations. Immediate focus must be placed on accelerating receivables collection and deferring any non-essential outflows.

WHY IT MATTERS • RISK

When suppliers demand payment, cash evaporates instantly. This is a business delaying insolvency, not generating cash.

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03. FINANCIAL DIAGNOSTIC

Working Capital · Section 3/4



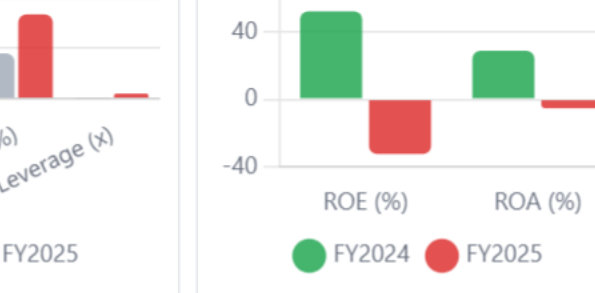
WC EVOLUTION

Current assets vs short-term liabilities



AR VS AP POSITION

You are financing your clients



WHAT IS HAPPENING — WHY IT MATTERS

The near-zero gross margin of 32.36 EUR suggests that working capital is being structurally eroded with each project delivered, as costs are not being adequately recovered through pricing or project management. In construction, poor working capital management typically manifests as slow client payments, excessive material pre-purchasing, or uncontrolled subcontractor costs. The company must conduct an immediate review of its active contracts to identify which are cash-positive and which are cash-draining. Any contract that cannot be renegotiated to a viable margin should be escalated or exited.

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03. FINANCIAL DIAGNOSTIC

Financial Position · Section 4/4



WHAT IS HAPPENING

Equity ratio: 93.5% (sector threshold: 25%). Debt/equity: 0.07x (safe: <1.5x). ROE: -10.9% | ROA: -10.1%. The equity ratio of 93.5% indicates that the balance sheet carries minimal external debt, which is a structural advantage and limits the risk of creditor pressure in the short term. However, a negative ROE of -10.9% and a negative ROA of -10.1% confirm that the assets and equity base are generating losses rather than returns. This means that while the company is not over-leveraged, it is quietly eroding its own equity through operational losses. If this trend continues unchecked, the equity buffer will diminish and the structural advantage will disappear.

WHY IT MATTERS

HEALTHY (≥ 40%). The path to financial stability runs through profitability. Current ROE is deeply negative.

HEALTHY

Ratio	FY2025	FY2024	Status
Current Ratio	1.15	2.22	LOW (<1.5)
Cash Ratio	0.26	0.36	VERY LOW
Equity Ratio	93.5%	72.4%	HEALTHY (≥ 40%)
Debt/Equity	0.07x	0.36x	VERY HIGH
ROE	-10.9%	+5.2%	NEGATIVE
ROA	-10.1%	+3.8%	NEGATIVE

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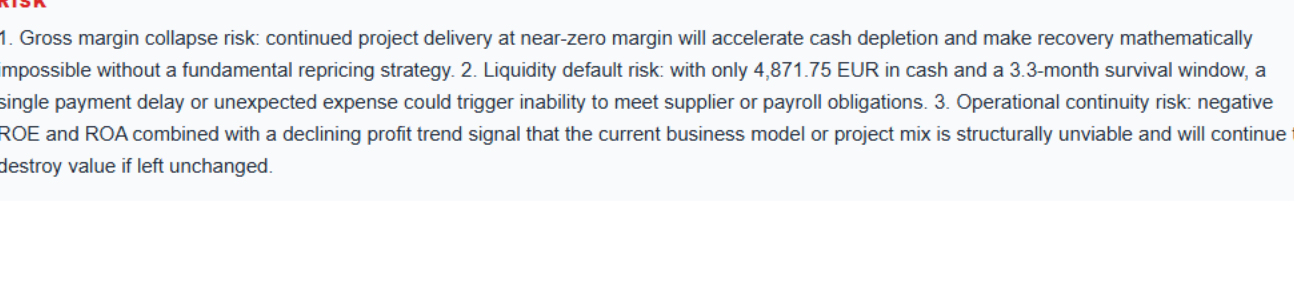
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04. SCENARIO ANALYSIS

SURVIVAL HORIZON MODELLING — THREE SCENARIOS



WHAT IS HAPPENING — WHY IT MATTERS

Under worst-case conditions, the business has approximately 3.3 months of operational survival, which is an extremely tight window in a sector where project cycles and payment terms routinely exceed 60 to 90 days. A single delayed payment from a key client or an unexpected project cost could trigger insolvency before corrective measures take effect. The base case requires an immediate injection of either new revenue at acceptable margins or a reduction in cash burn to extend this runway. Without intervention, the company risks entering a liquidity crisis that structural equity strength alone cannot resolve.

SURVIVAL HORIZON

Months of runway under each scenario



CASH BY SCENARIO

Available liquidity comparison



What must be true for success: (1) No client defaults; (2) All new contracts priced at +20%; (3) 50% advance payments from all new clients; (4) Bank credit line secured within 30 days. Without all four conditions, the base case is unsustainable.

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05. KEY RISKS & WATCHPOINTS

FIVE CRITICAL RISK FACTORS REQUIRING ACTIVE MONITORING AND MITIGATION

RISK

1. Gross margin collapse risk: continued project delivery at near-zero margin will accelerate cash depletion and make recovery mathematically impossible without a fundamental repricing strategy. 2. Liquidity default risk: with only 4,871.75 EUR in cash and a 3.3-month survival window, a single payment delay or unexpected expense could trigger inability to meet supplier or payroll obligations. 3. Operational continuity risk: negative ROE and ROA combined with a declining profit trend signal that the current business model or project mix is structurally unstable and will continue to destroy value if left unchanged.

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06. STRATEGIC RECOMMENDATIONS

FROM DIAGNOSIS TO ACTION — PRIORITIZED BY IMPACT AND FEASIBILITY

URGENT — 0 TO 2 WEEKS

1. Conduct an immediate line-by-line review of all active contracts to identify the source of the gross margin collapse and halt or renegotiate any project operating below a minimum acceptable margin threshold. 2. Implement a strict cash preservation protocol this week: freeze all discretionary spending, prioritize receivables collection, and negotiate extended payment terms with key suppliers to extend the current 3.3-month survival window. 3. Prepare a 13-week rolling cash flow forecast immediately so that management has full visibility into when the next critical cash shortfall will occur and can act before it becomes a crisis.

STRATEGIC — 3+ MONTHS

1. Redefine the project selection and pricing model to ensure that every new contract is assessed for full-cost recovery before acceptance, incorporating labor, materials, subcontractors, overhead, and a minimum margin buffer appropriate for the construction sector. 2. Evaluate whether the current revenue base and client mix are capable of sustaining the business at its current cost structure, and consider strategic options including specialization in higher-margin project types, geographic focus, or partnership arrangements to reduce fixed cost exposure. 3. Explore whether the strong equity ratio can be leveraged to access a working capital credit facility or invoice discounting arrangement that provides a structural liquidity buffer, reducing dependence on the timing of client payments.

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